

WORKING WITH A FINANCIAL ADVISOR

If you decide to work with a financial advisor, it is a decision that should not be taken lightly, because this person is going to be giving you advice and recommendations on financial products and services that can have a major impact on your financial growth over the long term.

According to my friend, Jenny Coombs, associate professor at the College for Financial Planning and founder of gradmoney.org, you want to think about dealing with a financial advisor like walking into a doctor's office after you've done your own extensive research. She states,

We've all seen the ads on TV or in print showing the picture-perfect work environment of financial advisors and their clients. As soon as you step through the door, you're welcomed like a family member and immediately you have a sense that everything will be perfect. That's a nice image to conjure, but it's part of a carefully crafted script to gain clients' trust and consumers should proceed with caution.

Working with a financial advisor can be a great experience, but it's important that you find the right person who understands your needs and whom you can trust and enjoy working with. To ensure you find the right financial advisor for your needs, you can start by asking for recommendations for great advisors from people you know. You can also do your own independent research by looking up potential candidates on finra.org and on sec.gov; both websites allow you to research the background and experience of financial brokers, advisors, and firms. Once you are comfortable with your findings, you can schedule an initial appointment to get to know the financial advisor and then take an assessment after your meeting to make sure they are someone you would be comfortable working with. Some questions you can ask your financial advisor during your initial meeting include:

Are you a fiduciary (someone who is legally obligated to put your client's best interests first)?

What is your philosophy around investing?

What is your diversification approach?

What is your commission/fee structure?